

Returns & Reverse Logistics Procedure

Owning area: Deliveries

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Applies to: IronStore EU operations

1. Purpose and Overview

This procedure defines how IronStore receives, assesses, refunds, replaces, repairs, and disposes of returned products. It covers customer-initiated returns, carrier exceptions, failed deliveries, warehouse errors, and products rejected during quality control.

The objective is to provide a consistent customer experience while controlling reverse-logistics cost, protecting resale value, and ensuring compliance with applicable European consumer, product-safety, environmental, and data-protection requirements.

All returns must be traceable from the original order through final disposition. The official record is maintained in **ReturnFlow**, integrated with **ShopCore**, **WMS Atlas**, carrier portals, and the finance platform **LedgerOne**.

2. Scope

This procedure applies to:

- Customer returns from EU and EEA delivery destinations.
- Products fulfilled from IronStore warehouses in Germany, Poland, and the Netherlands.
- Items returned through parcel carriers, pickup services, partner drop-off points, or warehouse collections.
- Refunds, exchanges, replacements, repairs, partial refunds, and store-credit decisions.
- Products classified as resaleable, open-box, damaged, defective, unsafe, incomplete, or unsellable.

This procedure does not replace:

- The **Product Safety Incident Procedure (QMS-PS-002)**.
- The **Personal Data Handling Standard (SEC-DATA-006)**.
- Marketplace-specific return rules where those rules are contractually stricter.
- Supplier warranty or manufacturer repair procedures.

3. Policy Statement

IronStore accepts eligible consumer returns in line with statutory withdrawal rights and the applicable product-category terms shown at checkout. Customers must receive clear return instructions and must not be

charged an unauthorized return fee.

Returns must be processed fairly and consistently. A returned item may only be rejected, downgraded, destroyed, or sent to a supplier when the decision is supported by documented evidence in ReturnFlow.

The standard operational targets are:

- Return request acknowledged within **one business day**.
- Return label or drop-off instructions issued within **one business day** of approval.
- Warehouse receipt scan completed within **24 hours** of physical receipt.
- Initial inspection completed within **two business days** of receipt.
- Refund released within **one business day** after approval.
- Customer cases older than **seven calendar days** without a decision escalated to the Returns Team Lead.

4. Procedure

4.1 Return Request and Eligibility

Customer Service creates or validates the return case in ReturnFlow. The case must include:

- Order number, customer ID, SKU, quantity, and reason code.
- Purchase channel and delivery country.
- Photos or supporting evidence where damage, defect, or incorrect item is reported.
- Requested resolution: refund, replacement, exchange, repair, or credit.

The system checks:

- Whether the item belongs to the order.
- Whether the request is within the applicable return period.
- Whether the category has special restrictions.
- Whether a previous refund, replacement, or claim exists.
- Whether the item is subject to a safety, hygiene, or regulatory block.

Examples of restricted products include opened cosmetics, personal-care items with a broken hygiene seal, software with an activated license, customized goods, and products legally restricted from resale after use. Customer Service must not promise an exception without approval from the Returns Team Lead.

For approved returns, ReturnFlow generates a return authorization number (**RMA**) and the appropriate carrier label. The RMA is valid for **14 calendar days** unless a different period is shown in the case.

4.2 Return Routing and Carrier Handover

Return routing is determined by product dimensions, value, hazard classification, and warehouse capacity.

- Standard parcels use the contracted **DHL Parcel Return** or **DPD Return** service.

- Oversized items use **Rhenus Home Logistics** or the original delivery partner.
- Lithium-battery products must follow the Dangerous Goods Matrix **DEL-DG-011**.
- High-value items above **€500** require tracked service and an RMA-linked label.
- Items above **€1,000** require signature at handover and enhanced receipt verification.

Customers must not return products to a warehouse address manually provided by an employee. The label generated in ReturnFlow ensures correct routing and cost allocation.

When a carrier reports a failed collection, the case is rescheduled once automatically. A second failure is assigned to Customer Service for customer contact and alternative routing.

4.3 Warehouse Receipt

The receiving operative scans the parcel barcode and RMA into WMS Atlas. If the label is unreadable, the operative searches by order number or carrier tracking number and creates an exception record.

At receipt, the operative must:

1. Photograph visibly damaged outer packaging.
2. Record parcel weight where the item is high-value, incomplete, or disputed.
3. Confirm the SKU and quantity.
4. Place the item in the correct inspection lane.
5. Update ReturnFlow with receipt date, warehouse, and condition of packaging.

Unidentified parcels are placed in the **Returns Reconciliation Cage**. The Returns Control Specialist investigates within **three business days** using carrier data, order records, and customer contact details available in the system. Unresolved parcels are escalated to the Logistics Operations Manager after ten business days.

4.4 Inspection and Condition Grading

The inspection associate follows the applicable category checklist in WMS Atlas. The inspection must verify:

- Product identity and serial number, where applicable.
- Functional operation using the approved test.
- Completeness of accessories, manuals, cables, and packaging.
- Signs of use, damage, contamination, or tampering.
- Safety concerns, recalled-batch indicators, and counterfeit risk.
- Customer-reported fault compared with observed condition.

The associate records findings and photographs for:

- Electronics and appliances above **€250**.
- Any item marked damaged, defective, incomplete, or counterfeit suspected.
- Any customer dispute involving condition or missing parts.

Condition grades are:

- **A – New/resalable:** Unused or indistinguishable from new, complete, and correctly packaged.
- **B – Open-box:** Functional, minor packaging impact, no material product damage.
- **C – Used or cosmetically marked:** Functional but not suitable for standard new inventory.
- **D – Defective or incomplete:** Requires repair, parts replacement, supplier review, or controlled liquidation.
- **E – Unsafe or prohibited:** Must be quarantined and prevented from resale.

Grade A items are returned to available stock only after the inventory controller confirms the SKU and quantity. Grade B and C items are transferred to the approved outlet or refurbishment inventory pools. Grade D items are routed according to the disposition decision. Grade E items remain in the locked quarantine area.

4.5 Resolution and Refund

The inspection result triggers a recommended resolution in ReturnFlow. The following approval limits apply:

- Up to **€250**: Returns Team Lead may approve refund, replacement, or partial refund.
- **€250–€1,000**: Returns Team Lead approval plus Finance Operations review for non-standard outcomes.
- Above **€1,000**: Deliveries Manager and Finance Operations approval.
- Any safety, fraud, counterfeit, or legal issue: mandatory Compliance referral.

Refunds are normally issued to the original payment method through LedgerOne. Refund amount includes the eligible product price and standard outbound delivery charge where required by the applicable withdrawal rules. Additional delivery upgrades are not automatically refundable.

A refund may be reduced only when permitted by law and supported by evidence of customer-caused diminished value. The decision and evidence must be recorded before the refund is released.

Replacement orders must be created from the original case, not as an unrelated manual order. The replacement SKU, warehouse, expected dispatch date, and any price difference must be recorded.

4.6 Exceptions, Fraud, and Disputes

Potential fraud indicators include repeated high-value returns, serial-number mismatch, empty parcels, altered labels, or materially different goods returned. Employees must not accuse the customer or delay a statutory refund without authorization.

The Returns Team Lead places the case in **Review Required** status and refers it to Customer Protection Operations. The review target is **five business days**. Confirmed abuse may result in account restrictions under the Customer Account Controls Standard, subject to Compliance review.

Customer disputes about inspection outcomes are reviewed using warehouse photographs, scan history, carrier data, and previous case notes. A written decision is issued within **five business days** of receiving the dispute.

4.7 Final Disposition and Environmental Controls

Disposition must be completed within **15 calendar days** of warehouse receipt unless a supplier or safety investigation is open.

Approved options are:

- Return to sellable stock.
- Transfer to outlet or refurbished inventory.
- Repair through an approved service partner.
- Return to supplier under an authorized RMA.
- Liquidation through an approved channel.
- Recycling or controlled destruction.

Employees must not place returned electronics, batteries, chemicals, textiles, or personal-care products in general waste. WEEE, batteries, packaging, and other regulated materials must be handled through approved waste contractors and recorded in the **Environmental Compliance Register**.

Products suspected to be unsafe are quarantined immediately. The Quality & Compliance Manager determines whether a wider stock hold, supplier notification, customer notification, or regulatory report is required.

5. Roles and Responsibilities

- **Customer Service:** Validate requests, communicate decisions, and maintain accurate customer-facing notes.
- **Returns Team Lead:** Approve standard exceptions, monitor ageing cases, and coach inspection teams.
- **Warehouse Operations:** Receive, scan, inspect, photograph, grade, and move returned stock.
- **Inventory Control:** Confirm stock adjustments and prevent duplicate availability.
- **Finance Operations:** Monitor refund execution, payment exceptions, and approval controls.
- **Customer Protection Operations:** Investigate suspected abuse, fraud, and serial-number disputes.
- **Quality & Compliance:** Manage safety, regulatory, environmental, and restricted-product issues.
- **Deliveries Operations Manager:** Own the procedure, carrier performance, and monthly KPI review.
- **Approved repair and waste partners:** Provide evidence of repair, recycling, destruction, or final disposition.

6. Controls and Reporting

Deliveries Operations reviews the following indicators monthly:

- Return rate by category, country, supplier, and reason code.
- Average days from receipt to resolution.
- Refund ageing and unresolved-case volume.
- Percentage of returns graded A–E.
- Carrier return cost per parcel.
- Fraud referrals and confirmed abuse.

- Percentage of stock with completed final disposition.
- Safety or environmental incidents.

Any KPI below target for two consecutive months requires a corrective-action owner and due date in the **Operations Improvement Register**.

7. Related Documents and References

- **DEL-RET-005:** Customer Return Terms and Country Exceptions.
- **DEL-DG-011:** Dangerous Goods and Lithium-Battery Handling Matrix.
- **QMS-PS-002:** Product Safety Incident Procedure.
- **QMS-SUP-003:** Supplier Warranty and Vendor Return Process.
- **SEC-DATA-006:** Personal Data Handling Standard.
- **FIN-REF-002:** Refund Approval and Payment Reconciliation.
- **OPS-WMS-014:** WMS Atlas Inventory Adjustment Guide.
- **ENV-004:** Waste, Recycling, and WEEE Control Standard.

8. Revision History

- **v3.2 – August 2026:** Added high-value return approvals, enhanced serial-number controls, and updated carrier routing.
- **v3.1 – February 2026:** Added Grade B/C inventory pools and revised refund ageing targets.
- **v3.0 – September 2025:** Migrated return case management from ServiceDesk to ReturnFlow and standardized EU warehouse workflows.